

LIMURU TEA COMPANY LIMITED

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ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30TH JUNE 2014.

The Board of Directors is pleased to announce the company's unaudited results for the Six months ended 30th June 2014.

STATEMENT OF FINANCIAL POSITION	As At 30.06.14	As At 30.06.13
CAPITAL EMPLOYED	Shs'000	Shs'000
Share capital	24,000	24,000
Retained Earnings & reserves	227,345	209,233
Profits for the period	7,454	13,170
Proposed dividend	-	-
Total equity	258,899	246,403
Non Current Liabilities		
Deferred income tax	52,692	49,253
Post employment benefit obligation	20,972	18,864
	73,664	68,117
Total equity and Non Current Liabilities	332,563	314,520
REPRESENTED BY		
Non Current Assets		
Property, plant and equipment	8,153	3,785
Biological assets	201,732	186,530
	209,885	190,315
Current Assets		
Receivables	117,289	128,210
Current income tax-Asset	-	-
Cash at bank and in hand	13,131	6,700
Inventory	150	38
	130,570	134,948
Current Liabilities		
Trade and other payables	7,946	5,395
Current income tax-Liability	(54)	5,348
	7,892	10,743
Net Current Assets	122,678	124,205
	332,563	314,520

CONDENSED STATEMENT OF CASH FLOWS	As at 30.06.14	As at 30.06.13
	Shs '000	Shs '000
Net cash from operating activities	19,992	9,900
Net cash used in investing activities	(5628)	(1,123)
Net cash used in financing activities	(9,000)	(9,000)
Increase in cash and cash equivalents	5,364	(223)
Movement in cash and cash equivalents		
At start of year	7,767	6,923
Increase	5,364	(223)
At end of June	13,131	6,700

DIRECTORS: DUNCAN STICKLER*, RICHARD KORIR, LEONARD KIMUTAI, COLLINS BETT, EDWIN KOMEN (*BRITISH)

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CONDENSED STATEMENT OF COMPREHENSIVE INCOME			
	Jan-June 2014 Shs '000		Jan-June 2013 Shs '000
Turnover	47,947		58,454
Profit before income tax	10,792		18,814
Income tax (expense)	(3,238)		(5,644)
Profit attributable to the shareholders	7,554		13,170
Issued shares of Kshs. 20 each	1,200,000		1,200,000
Earnings per share (Shs)	6.3		10.98
Total Dividends per share (Shs)	-		-

CONDENSED STATEMENT OF CHANGES IN EQUITY				
	Share Capital Shs '000	Retained Earnings & reserves Shs '000	Proposed Dividend Shs '000	Total Shs '000
Balance at 1 January 2013	24,000	209,233	9,000	242,233
Total recognized income for 2013	-	13,170	-	13,170
Dividends				
-Final paid for 2012			(9,000)	(9,000)
-Proposed final for 2013				
Actuarial loss on post employment				
Balance as at 30 th June 2013	24,000	222,403	-	246,403
Balance at 1 January 2014	24,000	227,346	9,000	260,346
Total recognized income for 2014	-	7,554	-	7,554
Dividends				
-Final paid For 2013			(9,000)	(9,000)
-Proposed final for 2014		-	-	
Balance as at 30 th June 2014	24,000	234,900	-	258,900

LIMURU TEA COMPANY LIMITED

COMMENTARY

Performance

In the first half of 2014, the company produced 1,649,380 kilograms of green leaf, which in turn was manufactured into 378.28 Tones of black tea. This was a 9% increase in made tea volumes compared to the first half of 2013.

Total revenues decreased by 18% to Kshs. 48 million in the period compared to Kshs. 58 million realized in the same period of 2013. This decline is due to the fall in the Market Tea prices by about 19% in the same periods under review.

The company posted a pre-tax profit of Ksh.10.8 Million in the first half compared to Ksh. 18.8 Million in 2013. The significant lower profit was largely as a result of the fall in market tea prices.

Dividend

The Directors do not recommend an interim dividend.

Prospects

The Crop in the first half of 2014 was boosted by favourable rainfall distribution but turnover adversely impacted by low tea prices. If this price trend persists, we expect the revenues in the second half to be lower compared to 2013.

By Order of the Board



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COMPANY SECRETARY

15th August 2014